

The background of the slide is a red-tinted photograph of the Iowa State University campus. It features the Old Capitol building with its prominent dome on the left, a large tree in the center, and other campus buildings and walkways in the background.

IOWA STATE UNIVERSITY

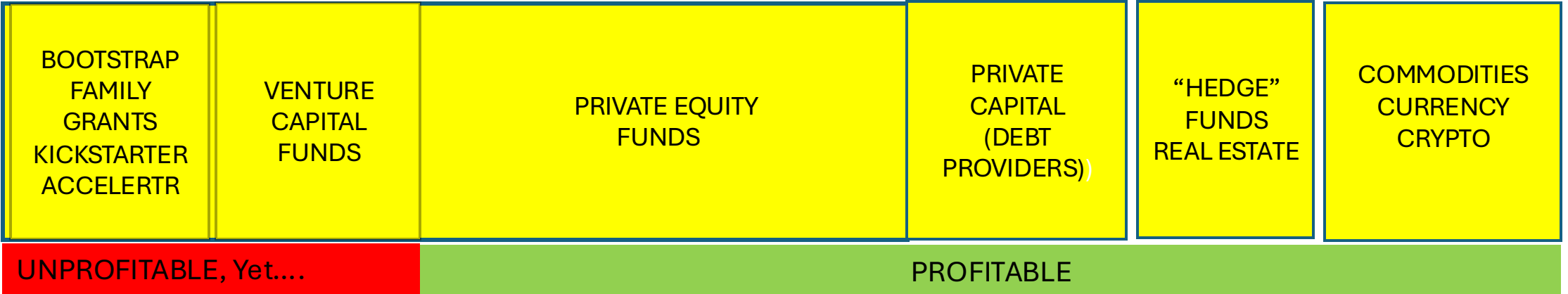
Ivy College of Business
FIN/ENTRP 4350
SPRING 2026

Professor Todd Ortberg
ortberg@iastate.edu
Office : 3123 Gerdin Hall
Office Hours: by request via email.

Agenda

- **RIPPED FROM THE HEADLINES ASSIGNMENTS**
 - Follow the assignment exactly
 - Some suggested sources added
- **FINANCING THE EARLY SIDE OF PRIVATE MARKETS:**
 - Private startups and growth companies
 - Methods including the most impactful- venture capital

PRIVATE MARKETS. \$11T



MERGERS, ACQUISITIONS, and DIVESTITURES
REQUIRED TO GET MONEY BACK

Methods for Financing Startups



Multiple Methods often used in a deal lifecycle

Not mutually exclusive options



Multiple Methods often used in a deal lifecycle

Not mutually exclusive options

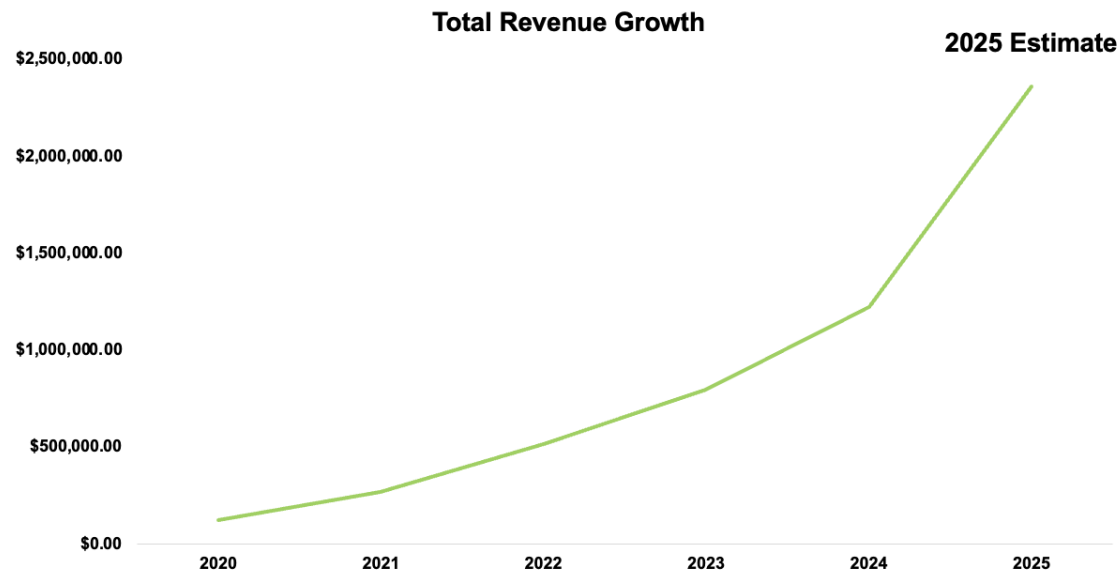
1. BOOTSTRAPPING

- **Key Points:**
- Using **personal savings, sweat equity, and early revenues**
- Maximum **control and ownership** retained
- Forces **lean, efficient operations**
- **Risk: Limited growth potential** without outside capital

Example

Successfully Bootstrapped a Great Start

... "The Dog is Hunting"



Growth

66,562 Subscribers

100% Y/Y Revenue Growth
Run Rate '25 over '24

\$2.5M Revenue Run Rate-
\$19M recurring



Multiple Methods often
used in a deal lifecycle

Not mutually exclusive
options

2. FRIENDS AND FAMILY

Key Points:

- Early capital from **personal network**
- Usually **informal agreements** (equity or loan)
- Trust is critical, but **risks relationships** if venture fails
- Typically small amounts of capital



Multiple Methods often used in a deal lifecycle

Not mutually exclusive options

3. CROWD FUNDING CAMPAIGN (up to \$5M before SEC Regulated)

Key Points:

- Raise small amounts from **large groups online** (Kickstarter, GoFundMe, etc.)
- Options: **donation, reward, debt, or equity-based**
- Great for **testing market demand** before launch
- Requires **marketing effort & visibility**



Multiple Methods often used in a deal lifecycle

Not mutually exclusive options

4. Incubators & Accelerators

Key Points:

- Provide **mentorship, workspace, resources**
- Often exchange support for **small equity stake**
- Strong **networking opportunities**
- May include **demo day to investors**



Multiple Methods often used in a deal lifecycle

Not mutually exclusive options

5. Government SBIR/STTR Grants

Key Points:

- U.S. programs for **R&D-heavy startups**
- **Non-dilutive funding** (no equity given up)
- Highly **competitive & paperwork heavy**
- Best for **tech, biotech, engineering startups**



Multiple Methods often used in a deal lifecycle

Not mutually exclusive options

6. Banks Loans. ***NOT***

Key Points:

- Traditional **debt financing**
- Require **collateral & credit history**
- Interest must be repaid regardless of success
- Often **inaccessible for asset-light startups**



Multiple Methods often used in a deal lifecycle

Not mutually exclusive options

7. Angel Investors

Key Points:

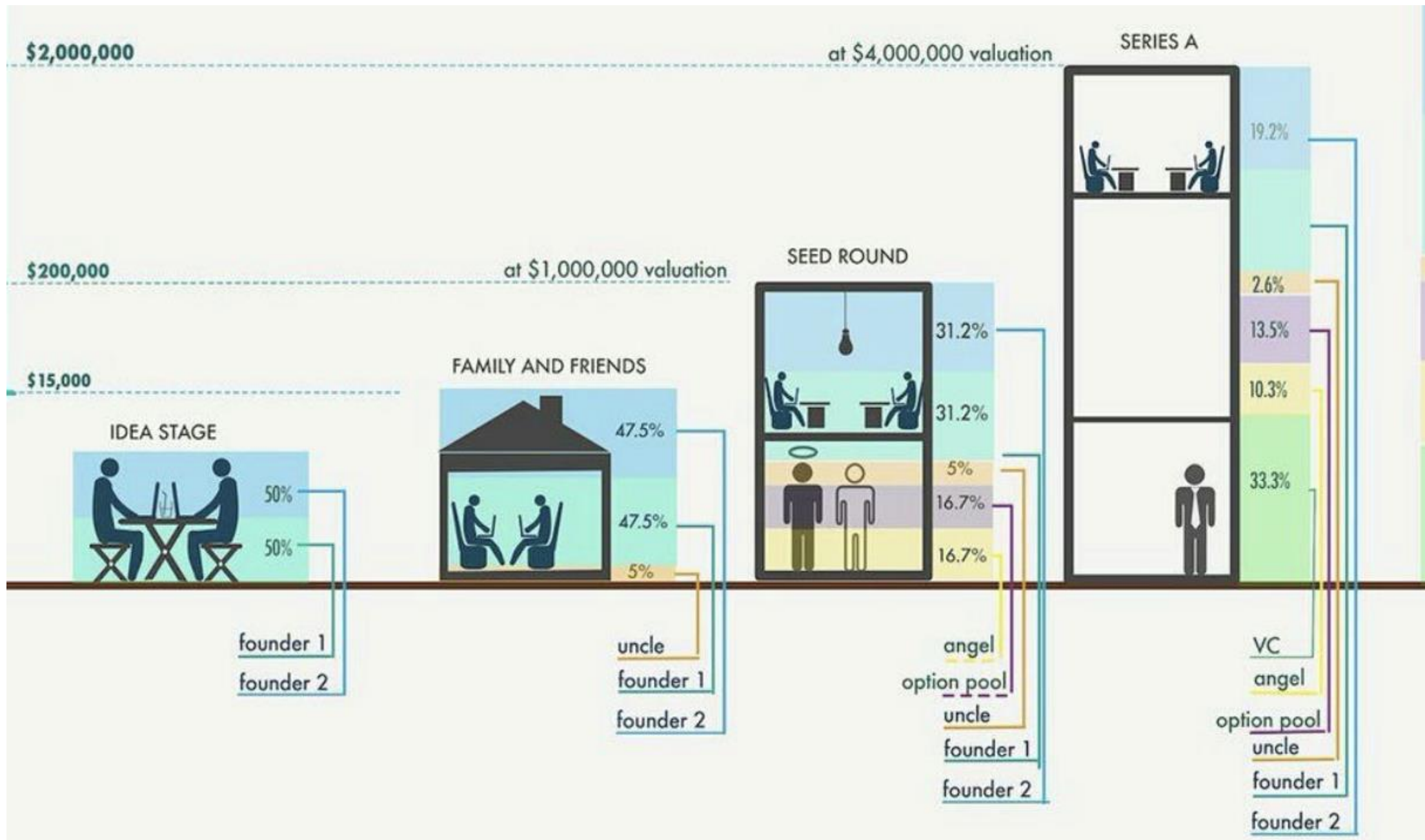
- **Wealthy individuals** investing personal funds
 - Provide **capital + mentorship + connections**
 - Typically invest **earlier than venture capitalists**
 - High risk tolerance, but want **equity stake**
-
- **THIS MAY BE THE FIRST STEP WITH PREFERRED STOCK THAT A VC INVESTS IN**



Multiple Methods often
used in a deal lifecycle

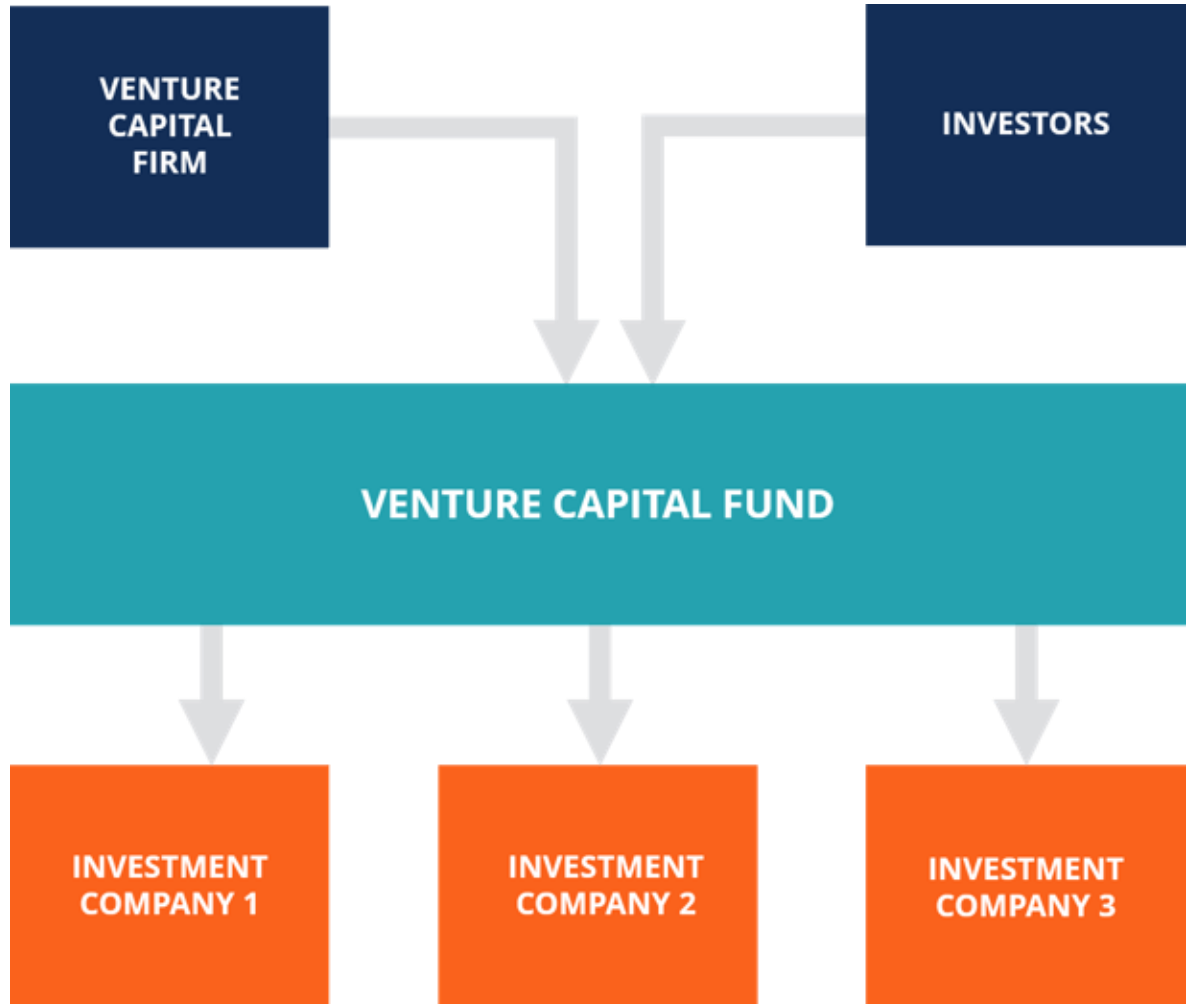
Not mutually exclusive
options

**Multiple
Methods** often
used in a deal
lifecycle



8. VENTURE CAPITAL

1. WHAT IS VENTURE CAPITAL FUNDING?



LIMITED PARTNERS: Pension Funds, High Net Worth Offices, Insurance Companies, Corporate Venture Arms

VCs are GENERAL PARTNERS: The VC firm as General Partner invests the fund; ideally with more expertise than the LP could do themselves.

- **2% of the fund per year in fees** (irrespective of return),
- **20% of proceeds after fund returned.** (Carried Interest),
- **10 year fund length**
- **1% of fund must be VCs own money**

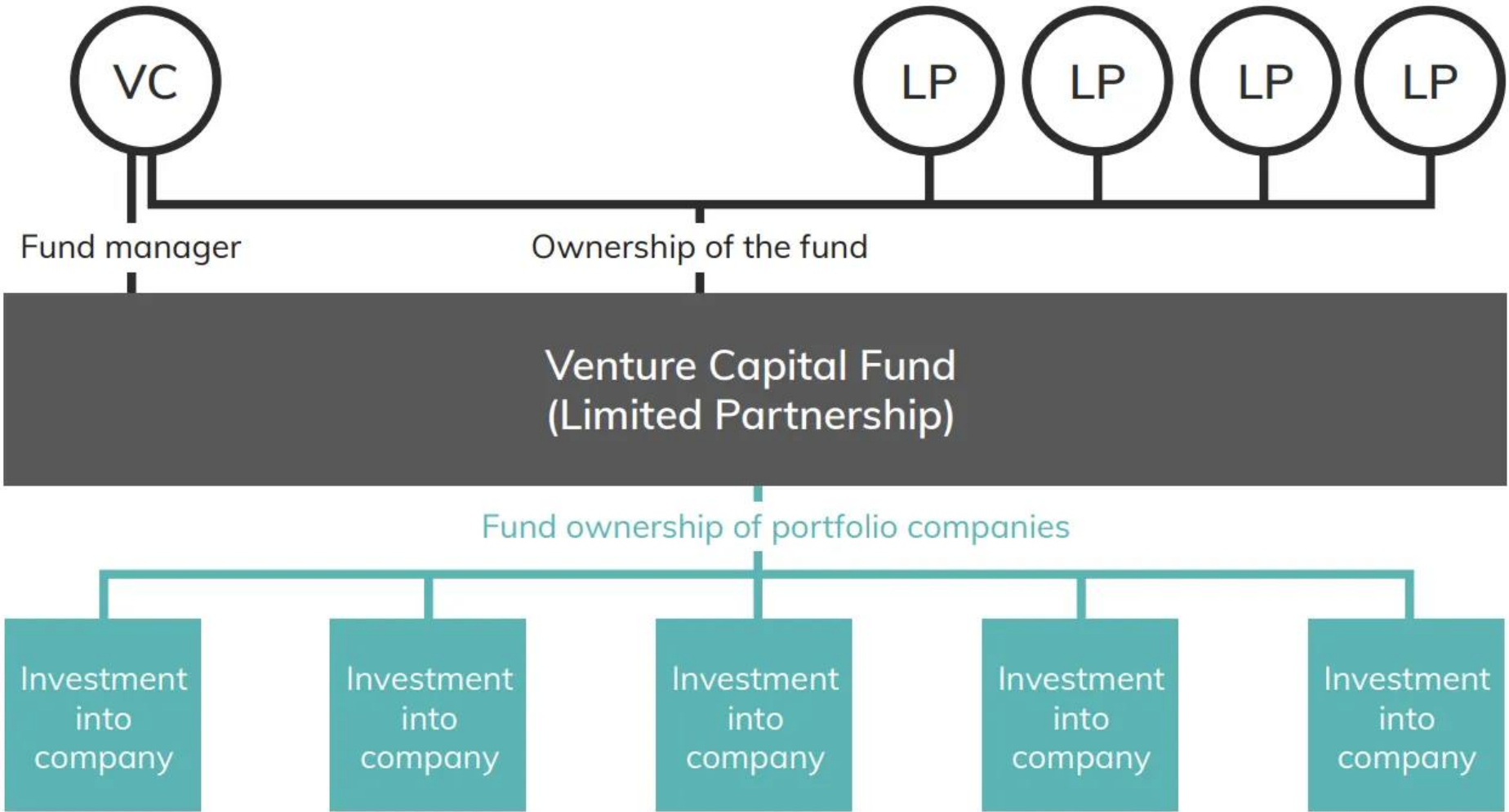
PORTFOLIO INVESTMENTS in PRIVATE COMPANIES: Deals.

The VC Fund Structure

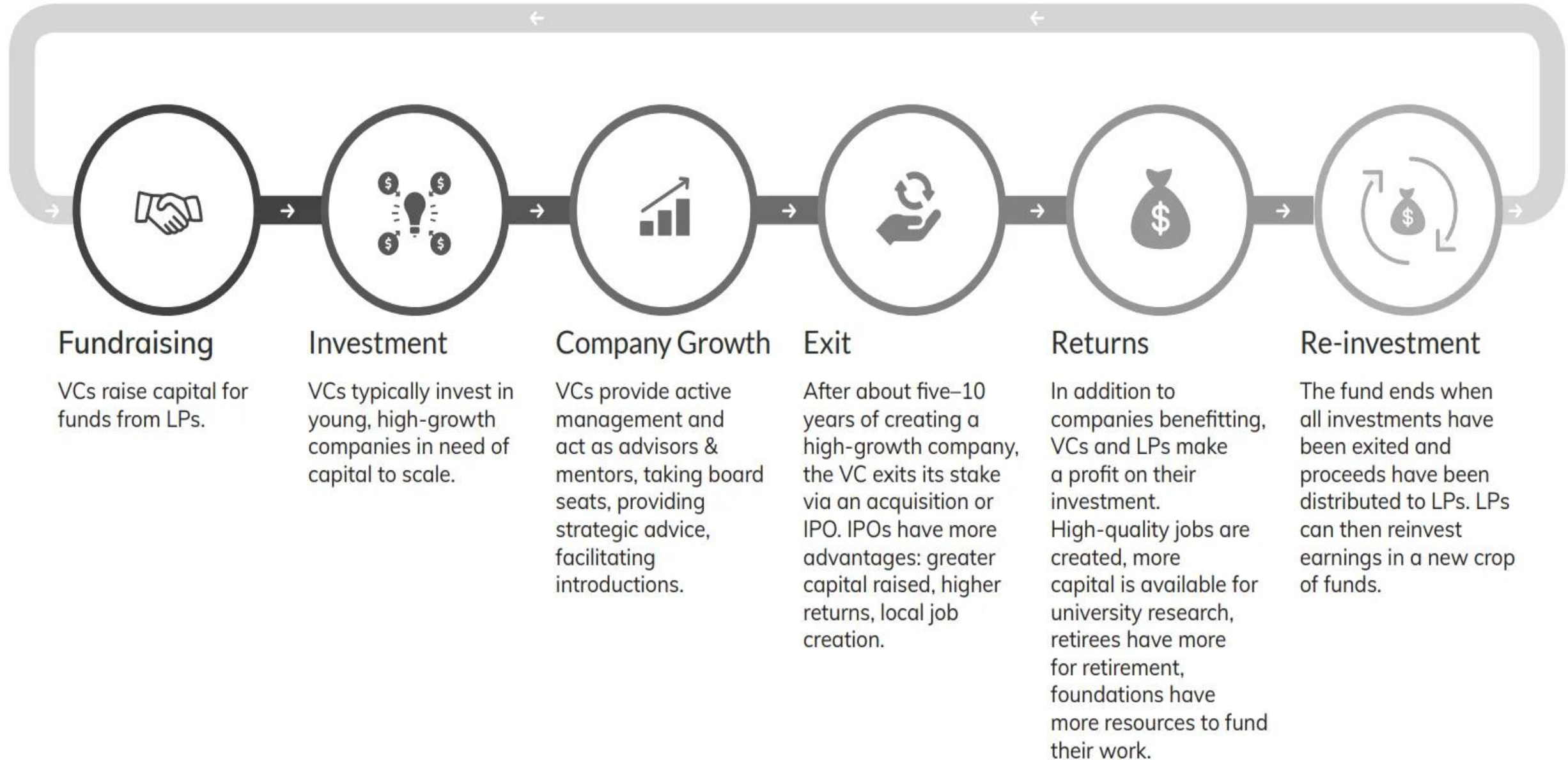
Venture Capital Firm
(General Partners or GPs)

Limited Partners
(LPs, Investors)

Examples: public pension funds,
corporate pension funds, insurance
companies, high net-worth individuals,
family offices, endowments,
foundations, funds of funds, sovereign
wealth funds

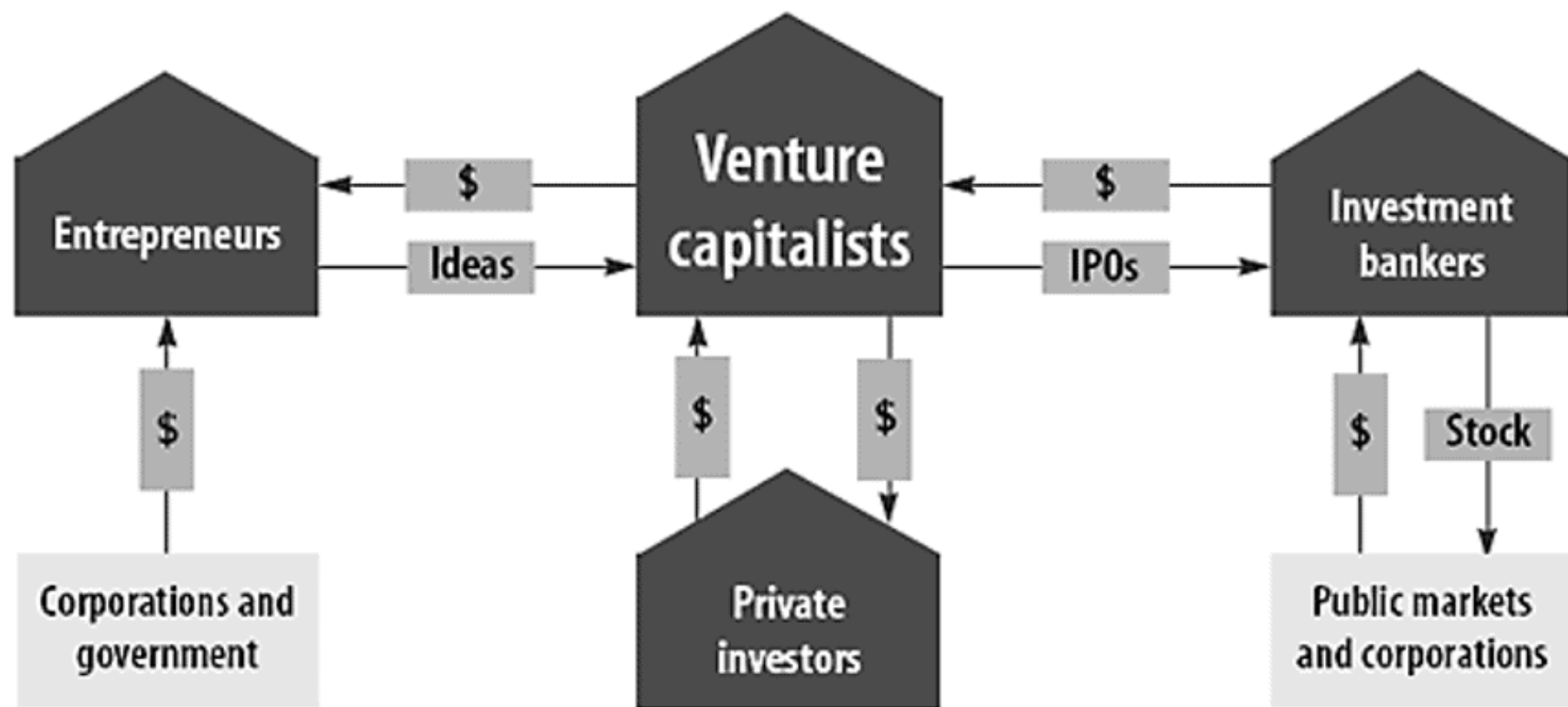


How Venture Capital Works

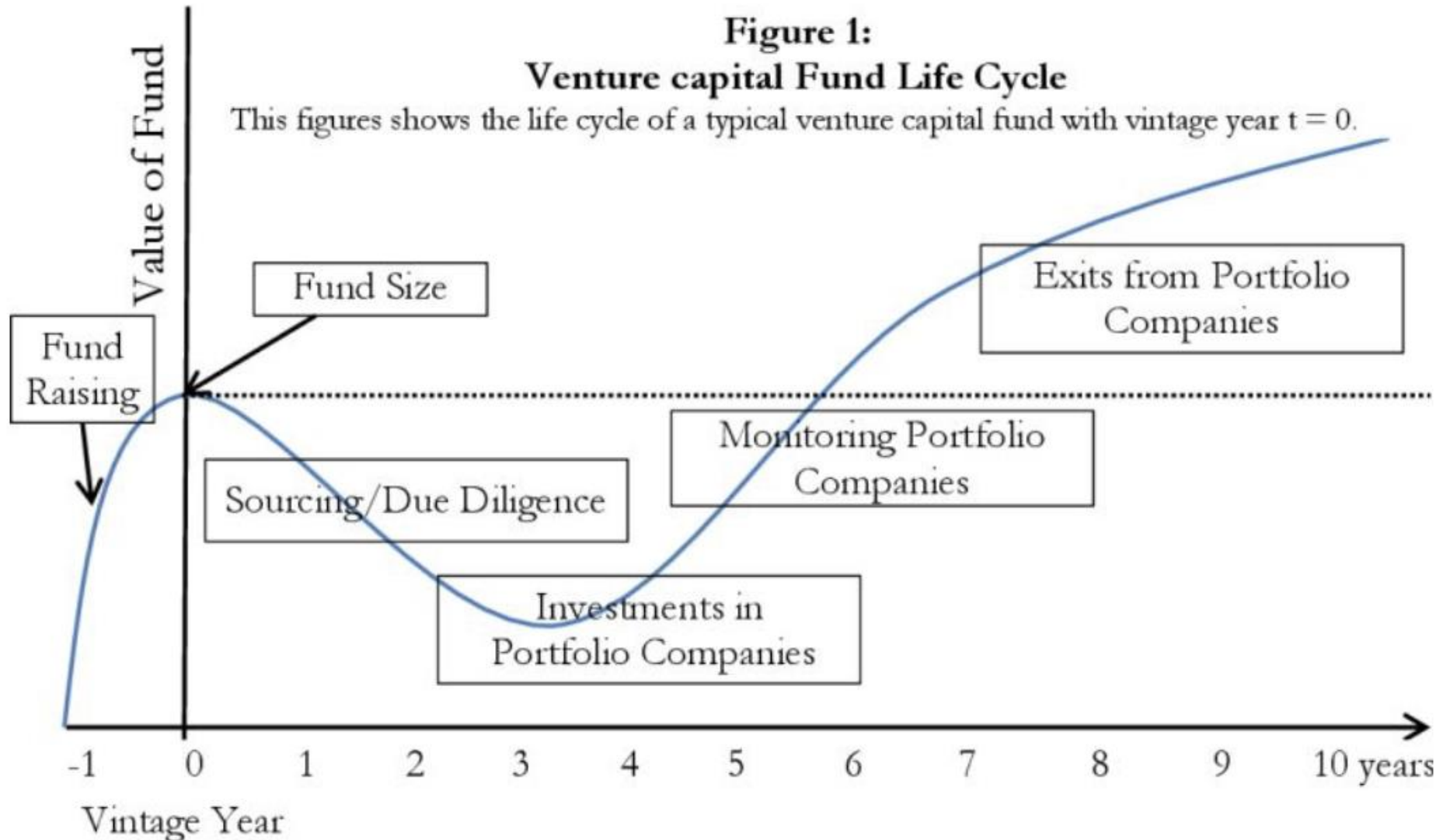


HOW THE VENTURE CAPITAL INDUSTRY WORKS

The venture capital industry has four main players: entrepreneurs who need funding; investors who want high returns; investment bankers who need companies to sell; and the venture capitalists who make money for themselves by making a market for the other three.



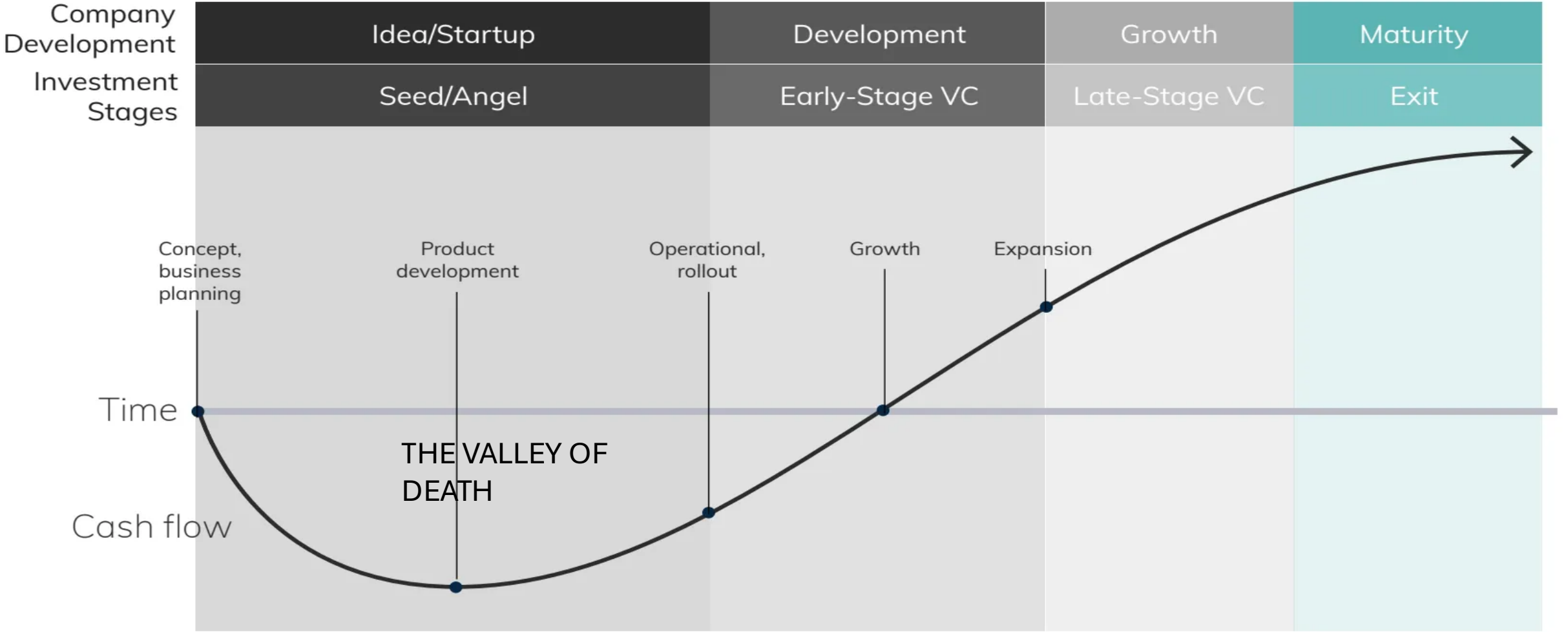
A VC FUND is only for TEN YEARS.....



Startup Funding Stages

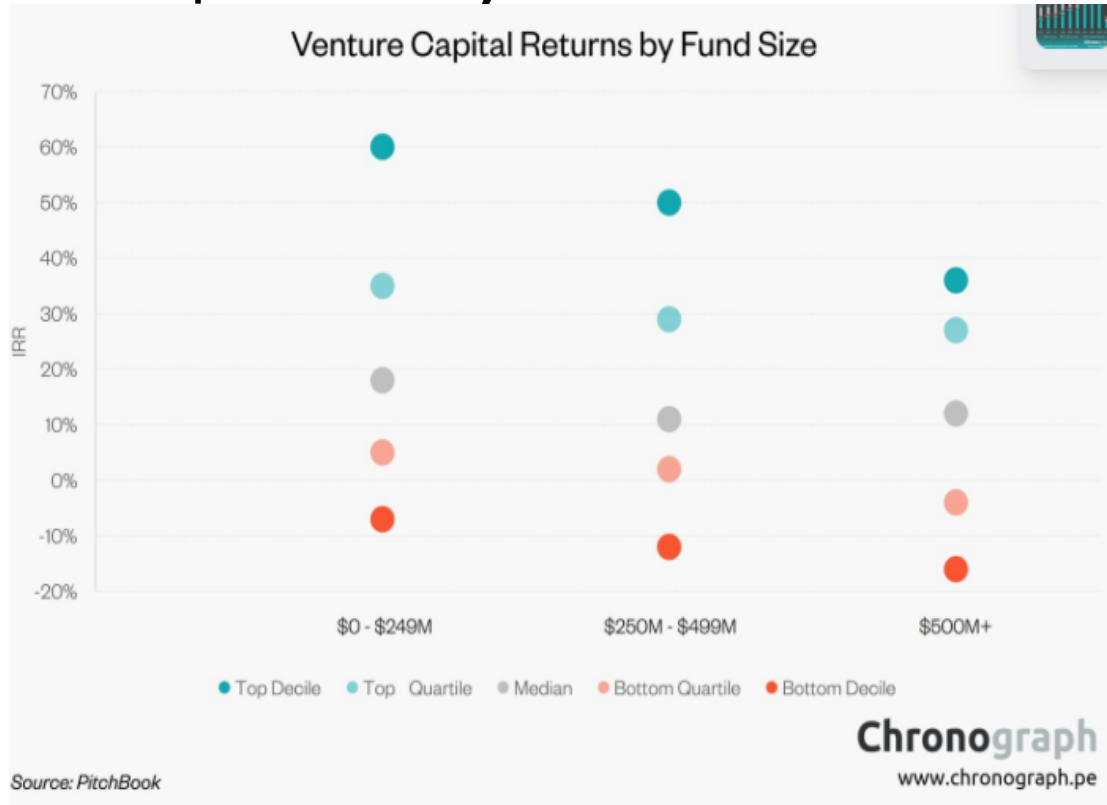


Venture Capital Plays a Vital Role in a Startup's Growth

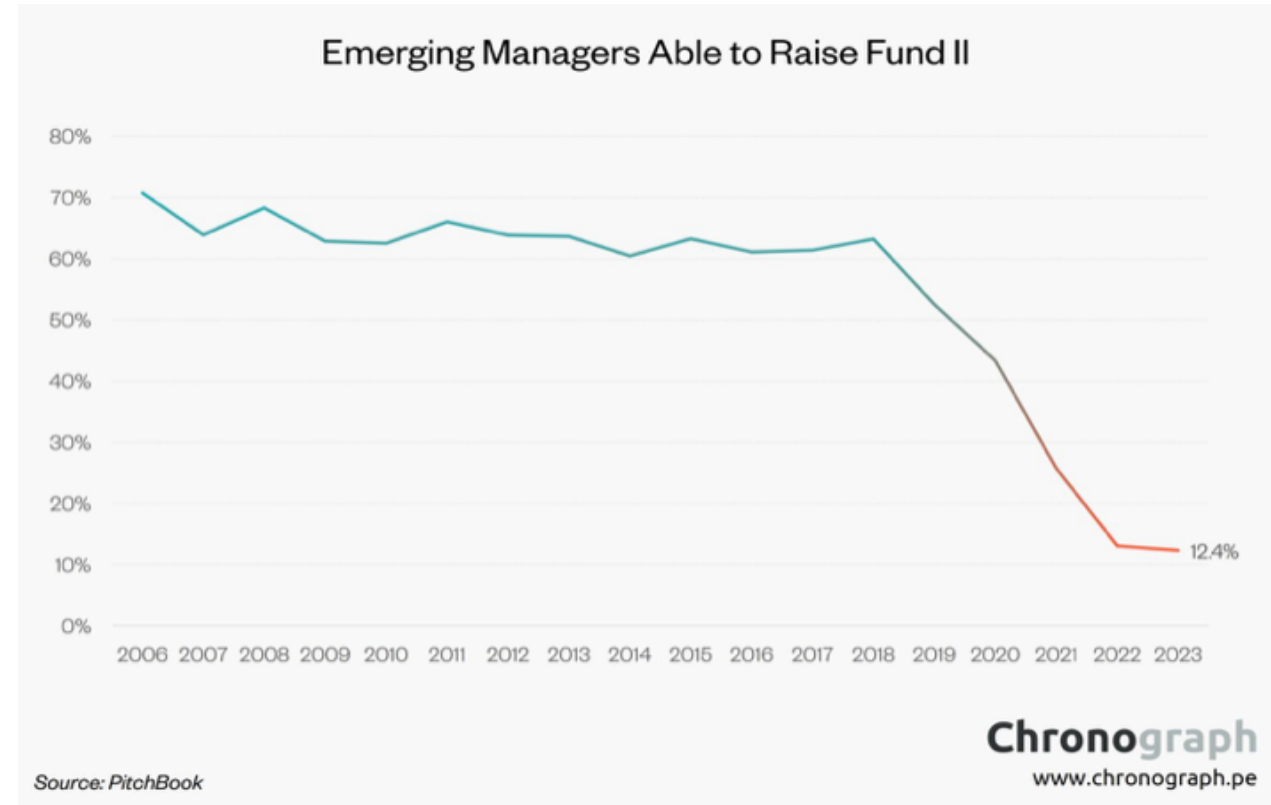


Sources of funding: VCs, angel investors, incubators, accelerators, strategic investors (corporate groups), growth equity investors, private equity firms, debt investors

SIZE of VENTURE CAPITAL FUNDS (Median is ~\$150M)

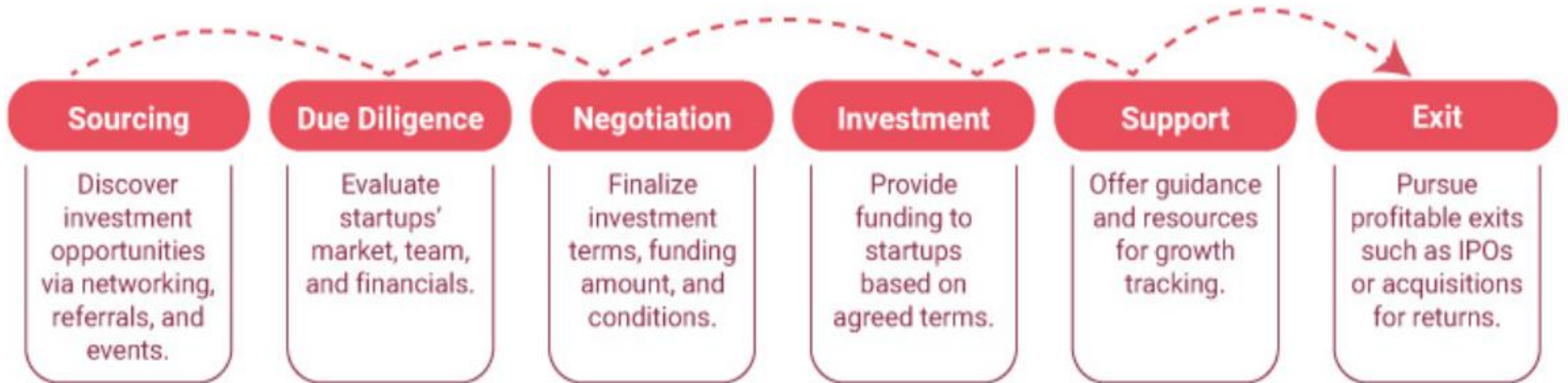


Bigger is NOT better.....



New ("Emerging") Funds are done if they do not have good returnshard when exit windows close

TYPICAL VENTURE CAPITAL PROCESS for a DEAL



VC is still primarily a Silicon Valley/Bay area led business

	Hub	VC Investment (2024)
	Bay Area	\$30.9B
	New York City	\$12B
	Denver	\$7.1B
	London	\$6.9B
	Boston	\$6.5B
	Los Angeles	\$6.3B
	San Diego	\$4B
	Shanghai	\$3.8B
	Beijing	\$3.8B
	Yangtze Delta	\$3.5B
	Paris	\$3.2B
	Research Triangle	\$2.5B
	Bengaluru	\$2.4B
	Singapore	\$1.9B
	Toronto-Waterloo	\$1.8B
	Abu Dhabi	\$1.6B
	Seoul	\$1.5B
	Tel Aviv	\$1.5B
	Washington DC	\$1.4B
	Seattle	\$1.4B

VC remains mostly US Based

Leading countries for VC investment, 2024

 Search in table



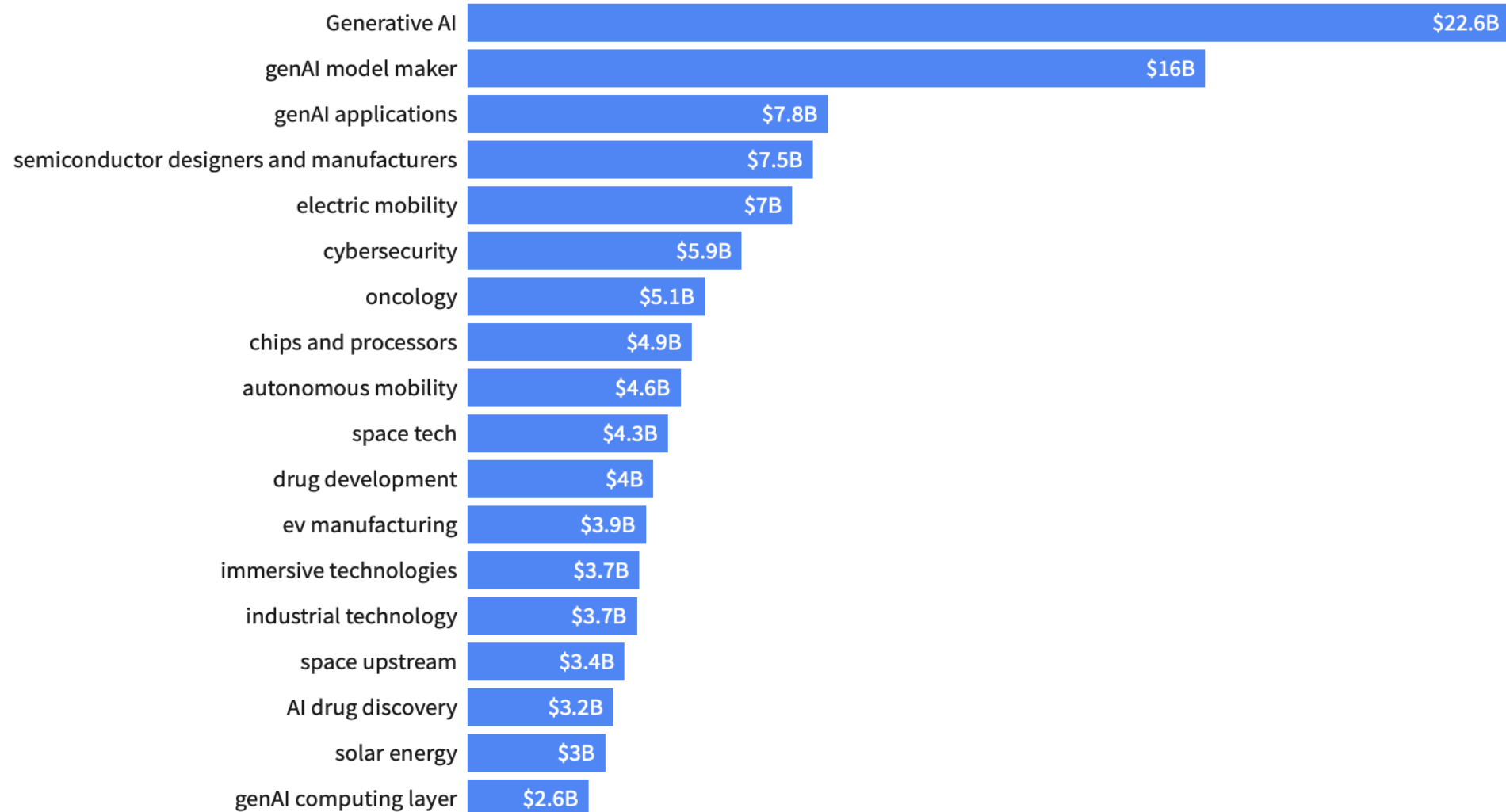
Country	VC Investment (2024)
 USA	\$89.4B
 China	\$22.9B
 UK	\$9.4B
 India	\$7B
 France	\$4.3B
 Germany	\$4.1B
 Canada	\$3.2B
 UAE	\$2.5B
 South Korea	\$2B
 Singapore	\$1.9B

Source: [Live Dealroom.co data](#) • [Embed](#) • [Download image](#)

dealroom.co

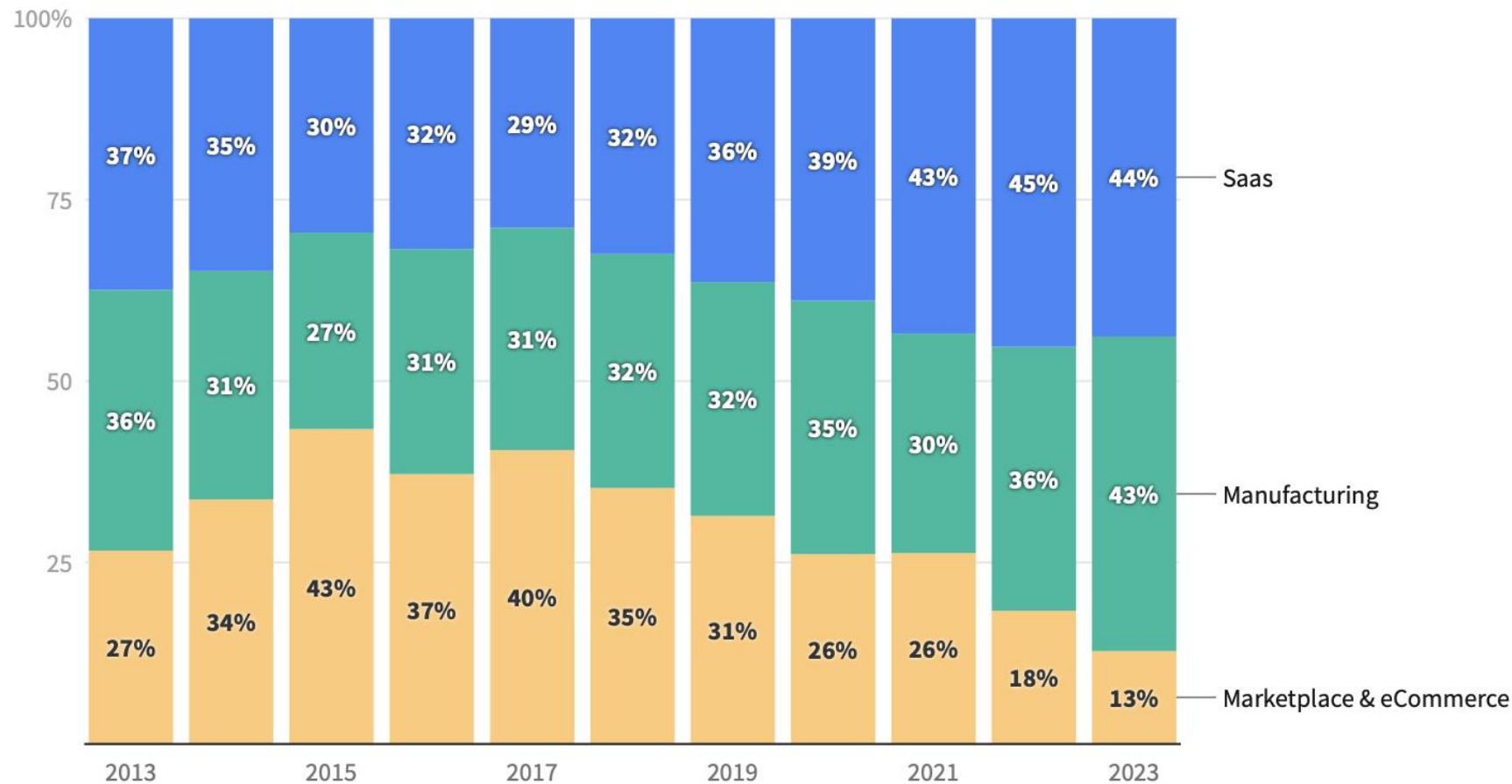
AI is dominating VC investments now

Global leading tech segments by VC investment, 2024



Software based products, offering as a service (SaaS) dominate

Global Venture capital investment by startup type

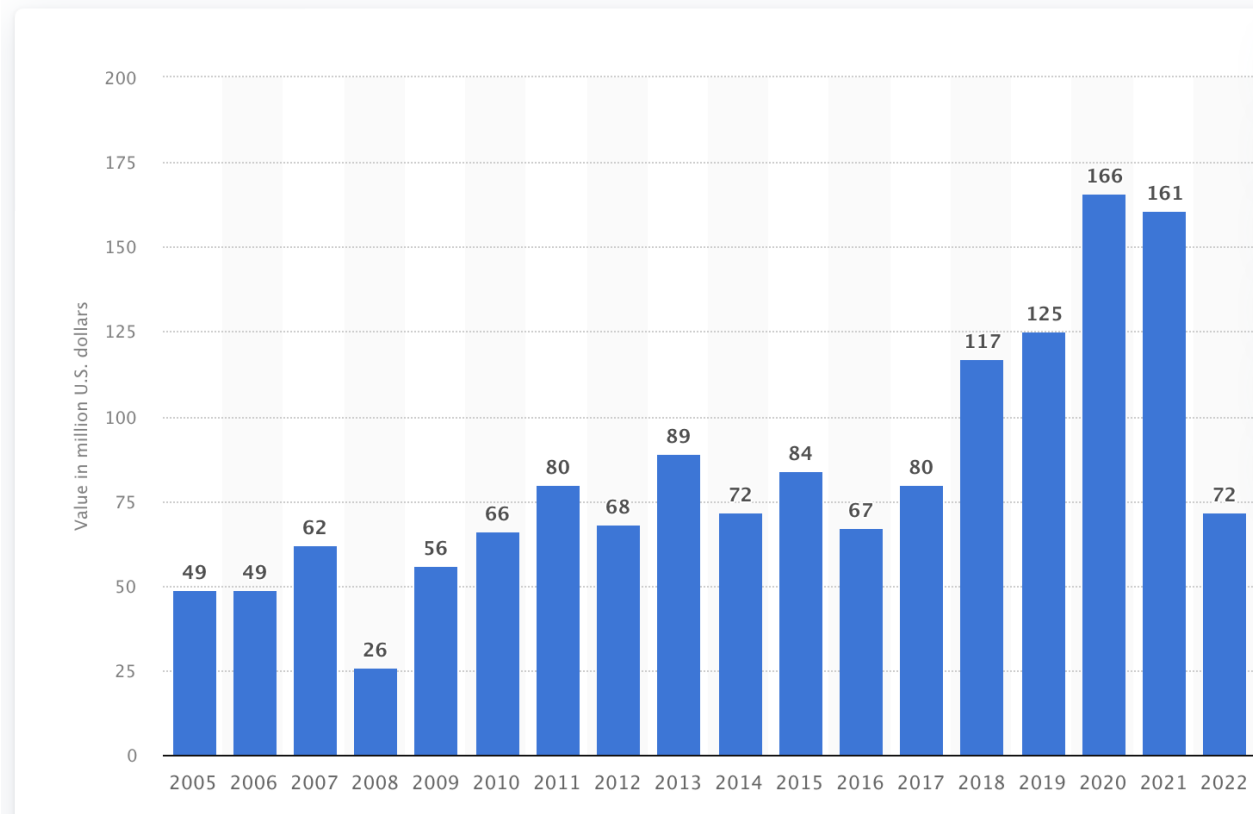


WHAT IS THE AVERAGE AMOUNT OF VENTURE
CAPITAL REQUIRED TO GET TO AN IPO?

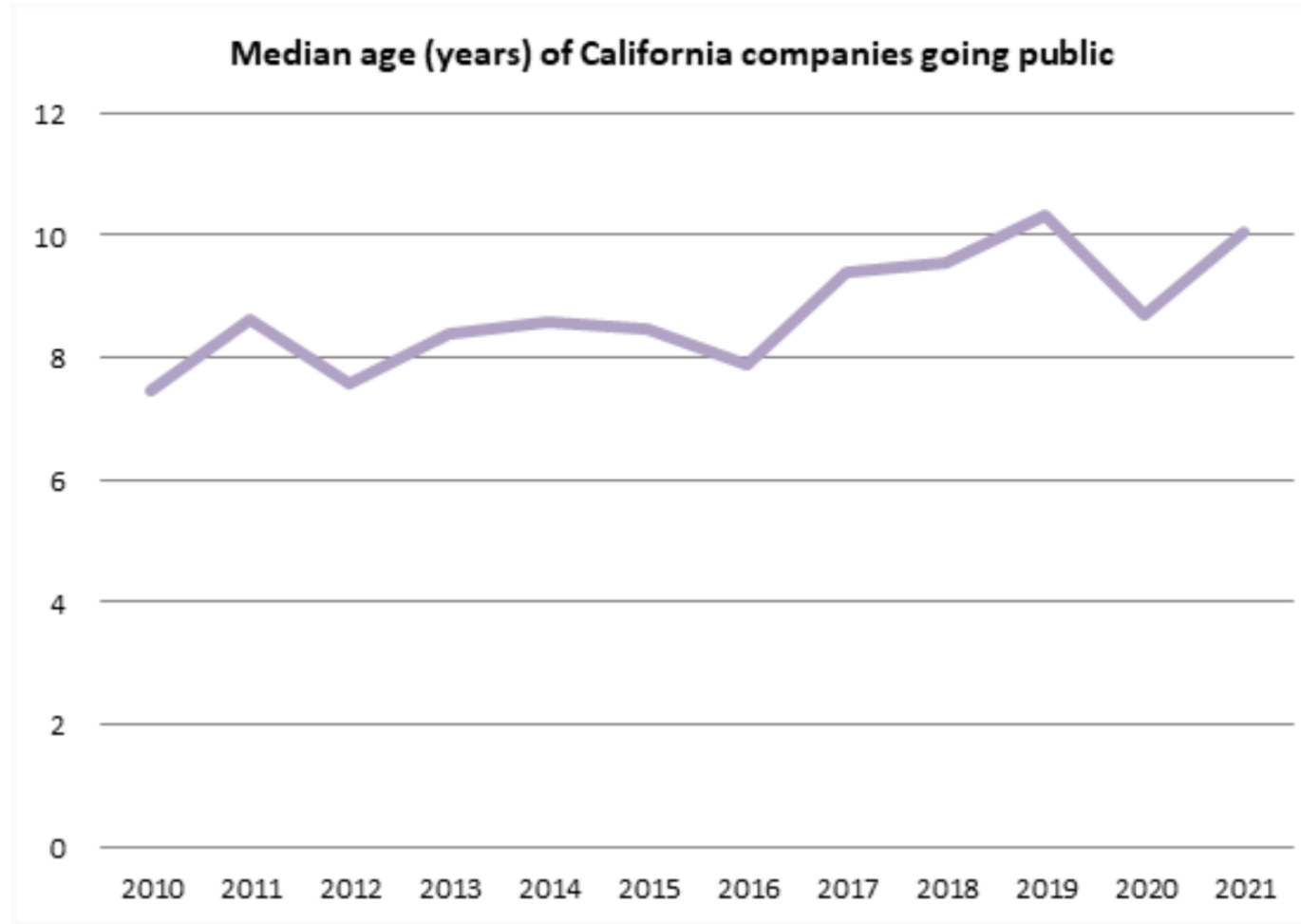
It usually take \$75M+ and at least 3 rounds of financing to get a company public...

Median amount of equity raised before initial public offering
from 2000 to 2022

(in million U.S. dollars)



It typically takes ~8 years to get a company public (just under 10 year fund window)



NVIDIA...THE MOST VALUABLE COMPANY IN THE U.S -VC's THAT PUT IN \$42M to TAKE IT PUBLIC IN 1999....

NVIDIA Corporation (NVDA)

☆ Follow

↔ Compare

117.59 -8.02 (-6.38%) **118.21** +0.62 (+0.53%)

At close: 4:00 PM EDT

After hours: 5:09 PM EDT

Is now the time
to buy Nvidia?

Read Free
Full Report

1D

5D

3M

6M

YTD

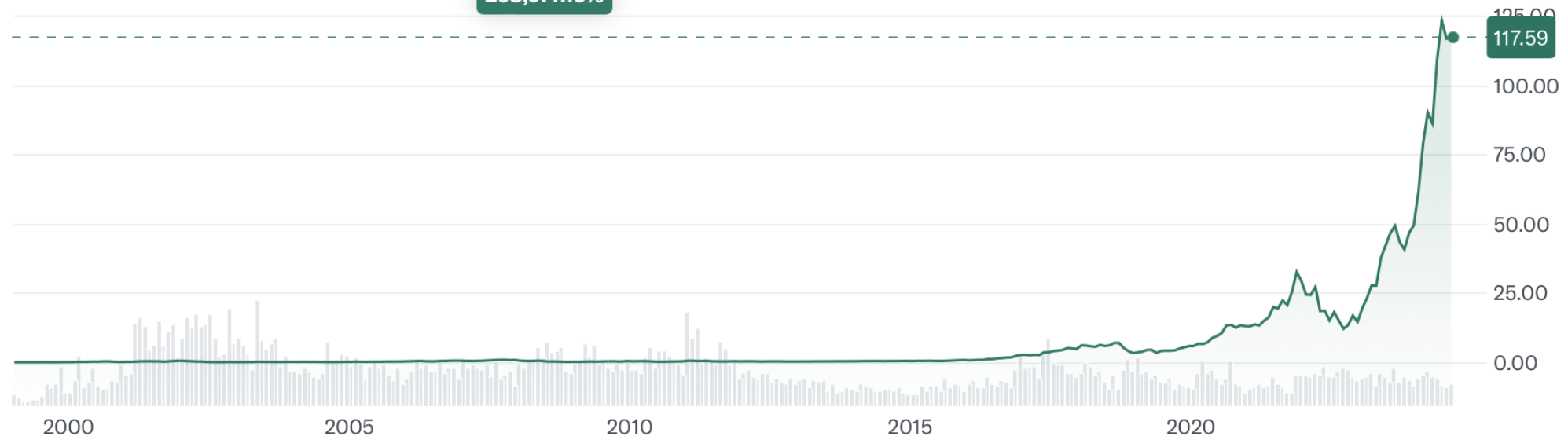
1Y

5Y

All

268,677.15%

Key Events



VC's don't usually hold stock once public....

Infinera Corporation (INFN)

☆ Follow

↔ Compare

6.17 +0.12 (+1.98%) **6.17** 0.00 (0.00%)

At close: 4:00 PM EDT

After hours: 4:00 PM EDT

1D

5D

3M

6M

YTD

1Y

5Y

All



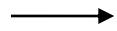
Key Events



-61.53%



I invested
@ \$4.80
6 months
before the IPO
500%+ IRR at
end of lock up



Anatomy of a Deal Life


optical solutions



IPO @\$13




1998 1999 2000 2001 2002 2003 2004 2005 2006 2007 2008 2009 2010 2011 2012 2013 2014 2015 2016 2017 2018 2019 2020 2021 2022



A



B



C



D



E



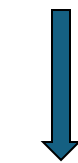
F



G



H



**DOT.COM
BUBBLE
BURST**

**SOLD to CALIX
at LOSS
~\$150M
invested**

**~\$112
purchase-
Calix is a
Private
Company**

First time
Liquidity
of
Shares

24 YEARS



The Venture Capital Secret – 75% of Startups Fail

Source: [DEBORAH GAGE](#), Wall Street Journal

It looks so easy from the outside. An entrepreneur with a hot technology and venture-capital funding becomes a billionaire in his 20s.

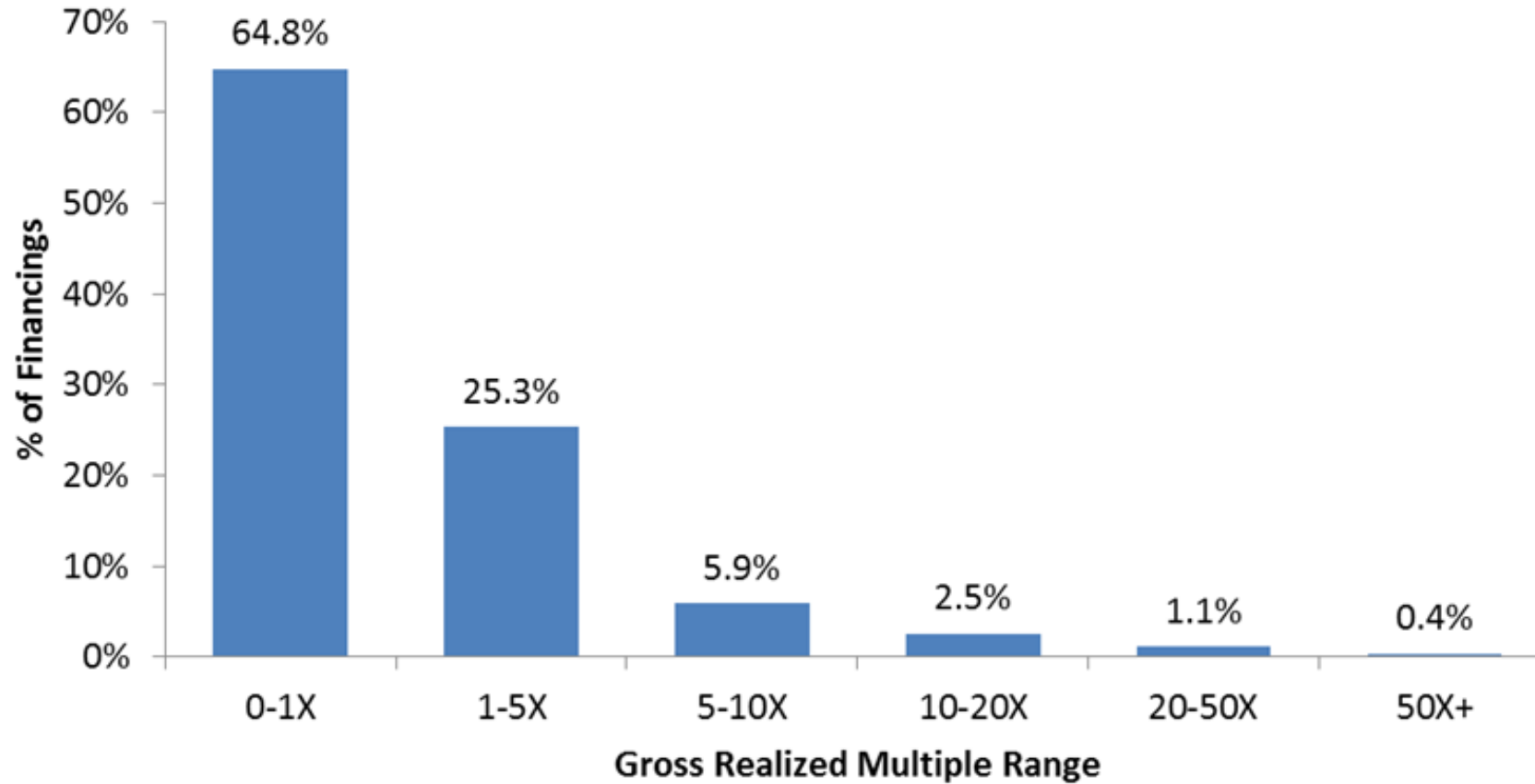
But now there is evidence that venture-backed start-ups fail at far higher numbers than the rate the industry usually cites.



About three-quarters of venture-backed firms in the U.S. don't return investors' capital, according to recent research by Shikhar Ghosh, a senior lecturer at Harvard Business School.

Right-Skewed Distribution of U.S. Venture Returns

By % of financings
in companies going out-of-business, acquired, or IPO 2004-2013
n=21,640 financings



Includes data from Dow Jones VentureSource and other sources

ALMOST 2/3 OF TEENS NOW WANT TO WORK IN STARTUPS

[MARKETS](#)[BUSINESS](#)[INVESTING](#)[TECH](#)[POLITICS](#)[VIDEO](#)[INVESTING CLUB](#)[JOIN](#)[PRO](#)[JOIN](#)[LIVESTREAM](#)

INVEST IN YOU: READY. SET. GROW.

60% of teens want to launch their own businesses instead of working regular jobs

PUBLISHED THU, MAR 3 2022•1:09 PM EST



Carmen Reinicke
[@CSREINICKE](#)

SHARE



Go For the IPO, but usually sold along the way

- ~90% of the time a company in the venture world will be sold before an IPO
 - Most times because they could not scale to IPO levels
 - Sometimes....competitors want them before they get public
- In general....statistics show the IPO is the best return for investors and founders
- That is the goal

Pros and cons of venture capital financing

Pros

- ✓ **Money to get the business off the ground:** You could secure financing to fund your startup phase and compete in the market. Many lenders do not typically finance startups.
- ✓ **Access to experts:** Investors would act as strategic advisors, guiding your business toward high growth. They may have additional connections in your industry that could be useful.
- ✓ **No debt to repay:** You do not have to repay money that is invested in your company. If the company doesn't succeed, VCs would simply lose their investment.

Pros and cons of venture capital financing

Cons

✗ Loss of control:

Accepting VC financing means you would no longer have full control of the company. The amount of equity granted to investors would determine their involvement in the business.

✗ Misaligned goals:

VCs prioritize making a return on their investment, and they could disregard any of your goals that hinder profit or growth.

✗ Difficulty ending the relationship:

If it's not working out with your investors, you may be able to buy them out and cease the relationship. However, it's more likely that you would end up selling the company or shutting the business to part ways with investors.

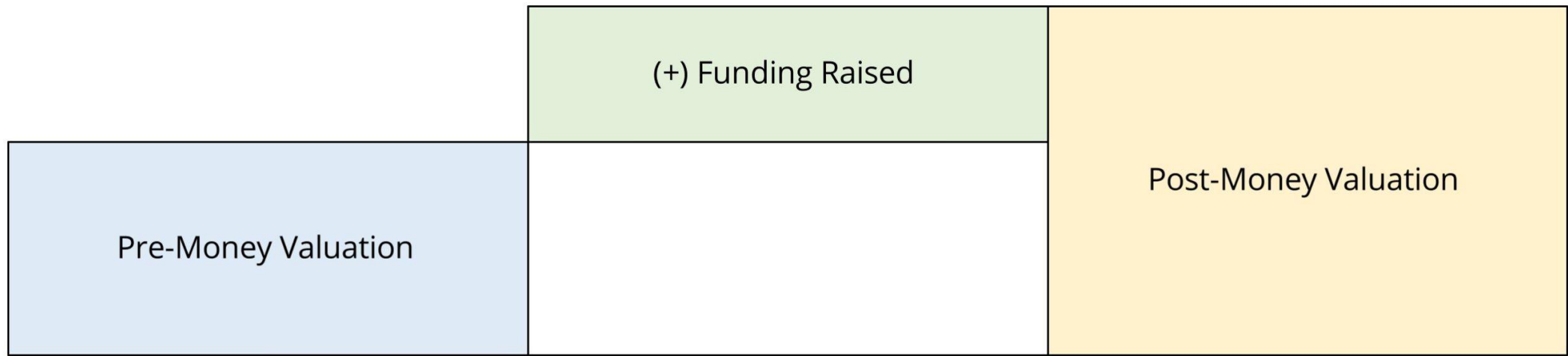
VALUATIONS IN VENTURE CAPITAL

VALUATIONS IN PRIVATE MARKETS (VC AND PE)- VALUATIONS ARE NOT SET BY A MARKET PRICE PER SE

- **Every round or deal of a company is done at a different, re-negotiated price**
- Price per share is set and negotiated in **Term Sheets**.
- It is based on....lots of things...factual and not....
 - the dynamics of the company
 - the market conditions
 - the timeline of the investment funds
 - Other terms like Liquidation Preferences

VENTURE CAPITALIST INVEST VIA A “TERM SHEET”

- We are going to learn all aspects of a real TERM SHEET.
- This is where the price and terms for PREFERRED STOCK are negotiated
- Investors buy Preferred Stock that has rights above the Common Stock that set up the company (founders stock)
- My observation: Not understanding the Term Sheet is the NUMBER ONE source of later issues with founders and investors being misaligned, especially on EXITS



Time

$$\text{Post-Money Valuation} = \frac{\text{Financing Raised}}{\% \text{ Equity Ownership}}$$

WHAT IS LIKELY AFTER FIRST SHARK TANK DEAL
PERHAPS.....from our friends on *Silicon Valley*

max

Home Series Movies HBO New & Notable



HBO ORIGINAL
SILICON VALLEY

30m 2014 TV-MA AD

▶ Resume S1 E1

↺ Restart

+
My List



...urted by two major Silicon Valley